# Australia’s Trade in Goods Account, January

#trade #australia

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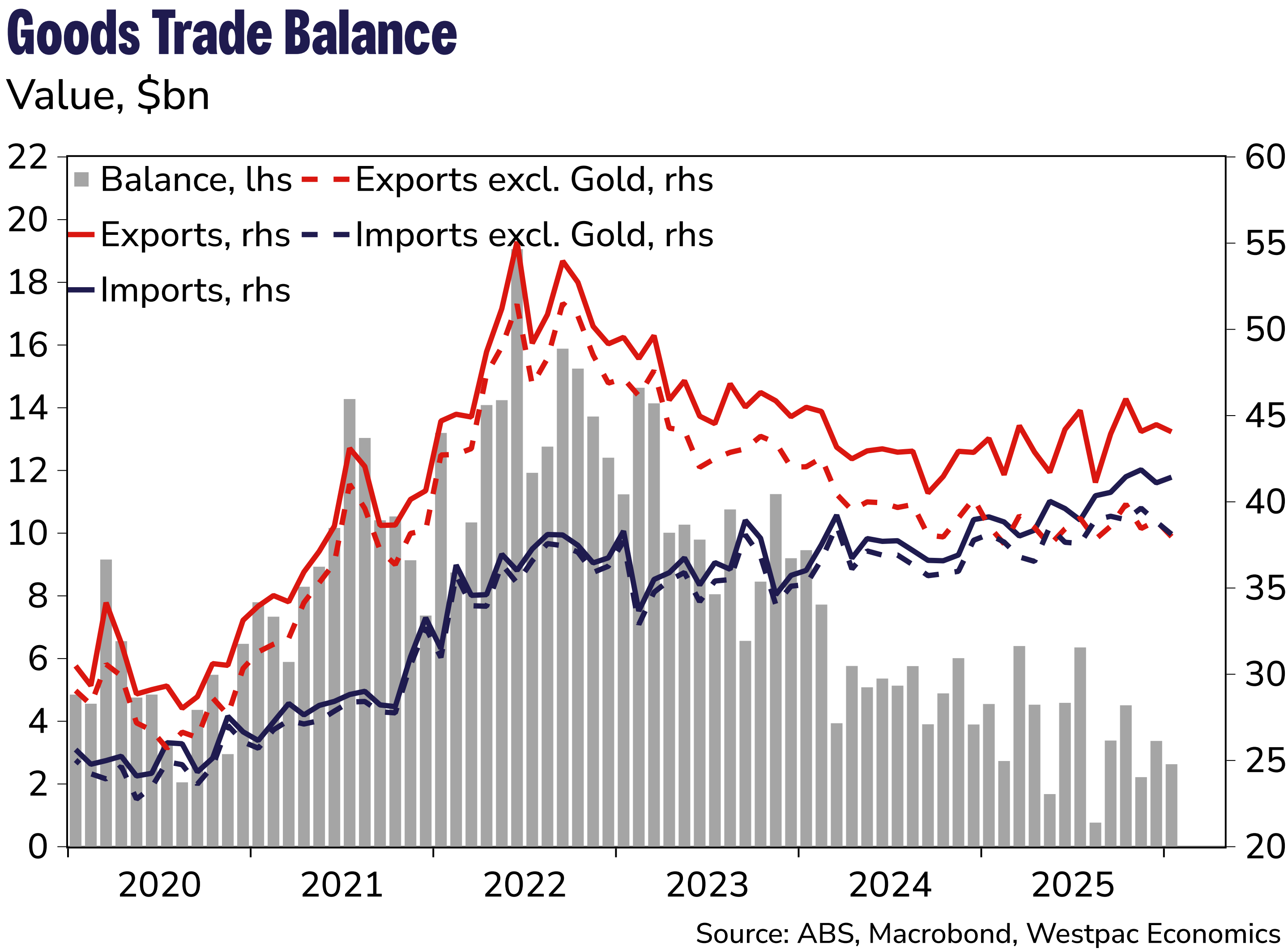
Australia’s goods trade surplus narrowed in January, driven by a drop in exports and a rise in imports. Gold trade remains highly volatile. The conflict in the Middle East is likely to push oil import costs higher, yet it may also open some opportunities for Australian exporters. The trade balance: $2.6bn. Export values: down 0.9%mth. Import values: up 0.8%mth.

This week's release of the December quarter Balance of Payments and National Accounts data highlighted that Australia's exports and imports were resilient throughout 2025. Strengthening domestic demand supported imports across all major categories, while rising shipments of iron ore and rural goods were important contributors to export growth.

The latest monthly goods trade figures for January signalled a subdued start to 2026, at least in terms of the nominal performance. The headline goods trade surplus shrank from \$3.4bn to \$2.6bn, well below last year's average of \$3.8bn. Sharp fluctuations in gold values, both for exports and imports, continue to drive most of the month-to-month volatility. Excluding gold, the goods trade balance was nearly unchanged from December, hovering around zero.




***Exports***

Export earnings fell by 0.9%mth in January, reversing December's gain of the same magnitude. Gold shipments surged 9.0%mth, returning to the upper end of the range seen in the latter half of last year. Excluding gold, exports dropped 2.4%mth.

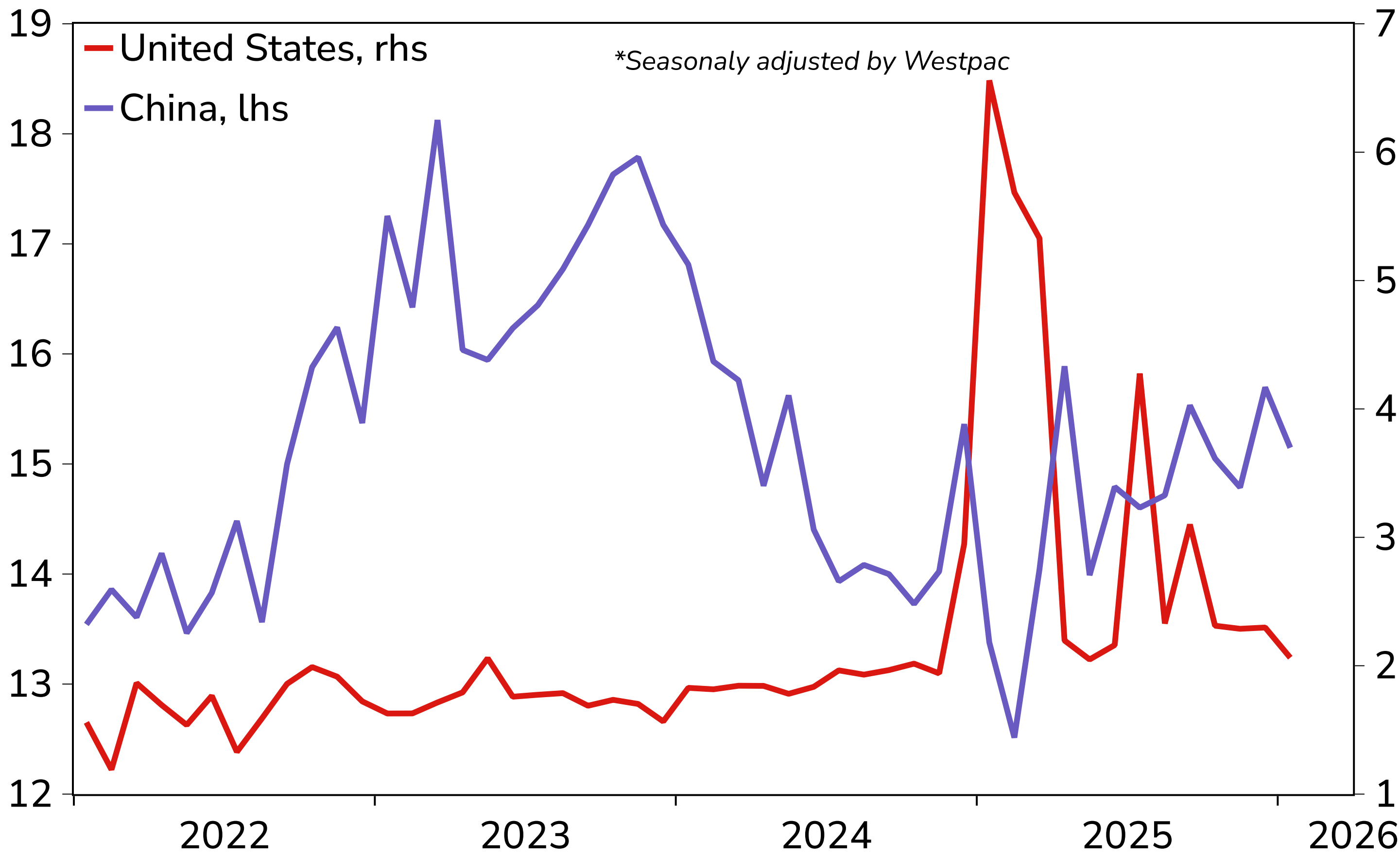
Major commodity exports declined 1.5%mth, as iron ore and coal export earnings fell, while LNG increased. Additional data from the ABS on major commodity trade suggest that changes in coal and LNG were primarily due to volumes, with iron ore result is less clear cut between price and volume effects.

The rural goods category dropped 5.2%mth, marking the weakest result in ten months. Meat exports, down nearly 10%mth, were the main factor, partially offset by higher shipments of cereals and grains. We have previously flagged downside risks to agricultural exports this year due to reduced livestock supply and will closely monitor whether this change signals a more permanent shift in the growth trend.

By country, lower exports to China accounted for much of the decline in total exports, with the UK and other Asian nations also contributing. Exports to the US fell to their lowest level in eight months, suggesting Australia's exports may have been losing momentum in the US market even before the recent adjustments to US import tariffs.

## Goods Exports to China and the US*

Value, $bn



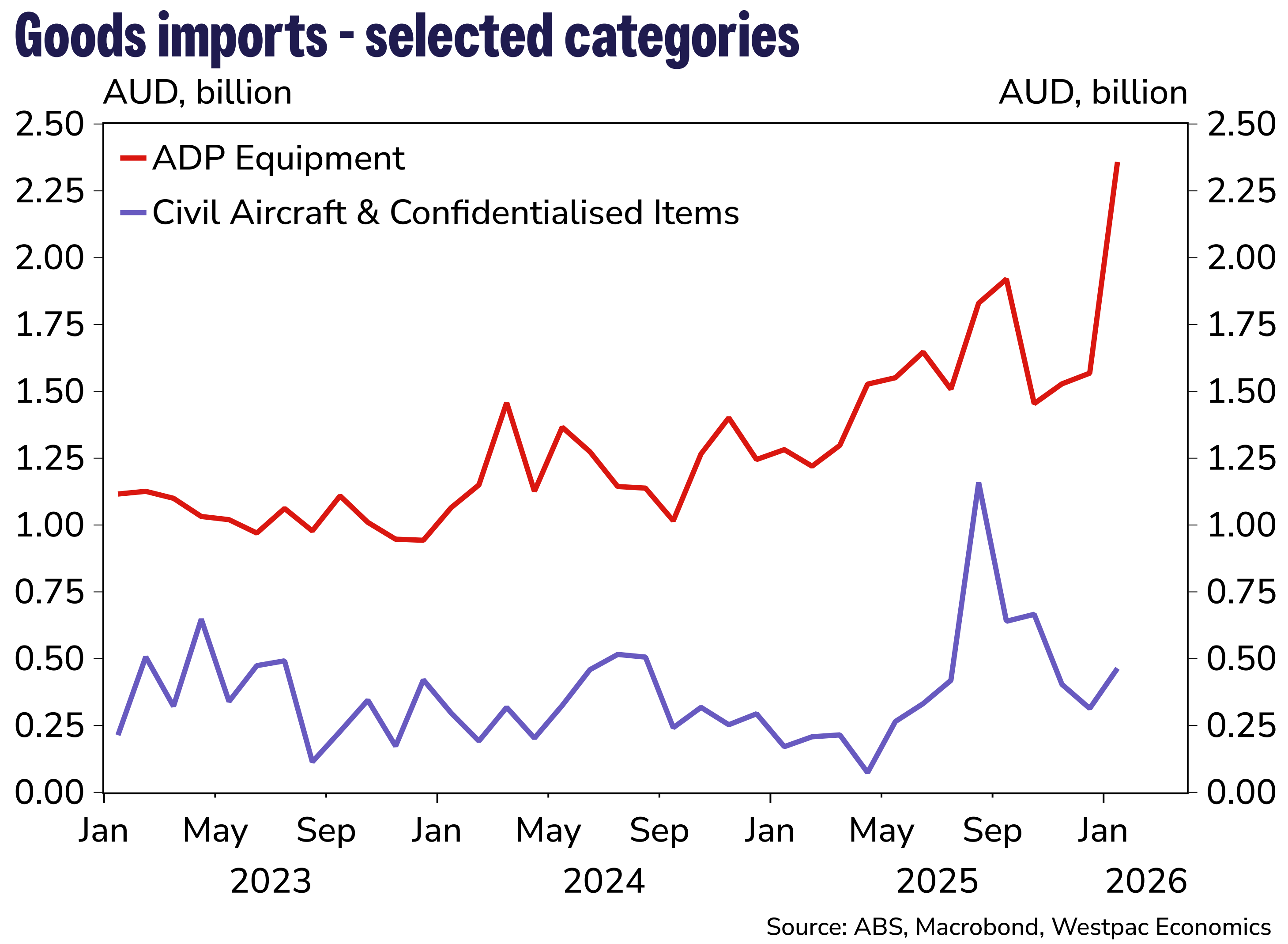

Source: ABS, Macrobond, Westpac Economics

***Imports***

The import bill rose 0.8%mth, but once again, gold was the chief culprit behind the lift, having lifted 50% versus last month. Excluding gold, imports declined nearly 2.0%mth.

Consumption goods imports dropped 3.7%mth, marking the weakest result since June last year. Significant declines were seen in food, household electrical items, and transport equipment, pointing to a slow start for consumer spending in 2026. Intermediate goods imports were even more subdued, down 4.5%mth, the largest drop in sixteen months.

Capital goods helped offset weakness elsewhere, rising 5.1%mth. After a drop of more than 13% in value terms during the December quarter, data processing equipment surged over 50%mth, suggesting the recent lull was a pause following strong growth earlier last year, rather than a sign of slowing investment in data centres. Following steep declines in recent months, imports of civic aircraft and confidentialised items also rebounded, up nearly 50%.




***The war in the Middle East***

Looking ahead, the war in the Middle East may significantly affect Australia's trade flows, depending on how events unfold – including the conflict's intensity, duration, and breadth.

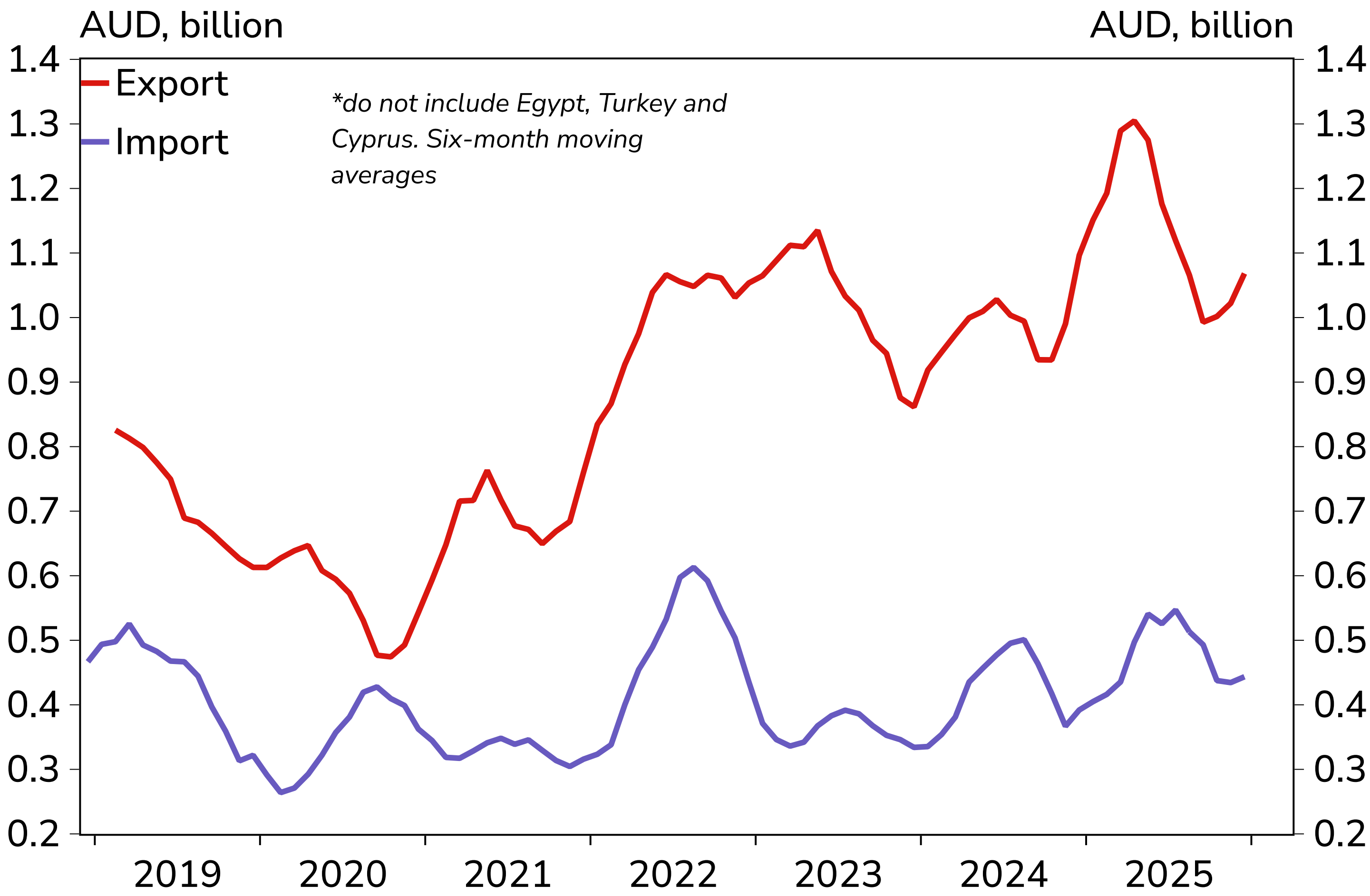
Direct trade flows from Australia to the affected countries are modest, representing roughly $1bn in exports and less than $0.5bn in imports per month. For comparison, Australia's total monthly goods exports are around $44bn, while imports are just under $40bn. Even in more adverse scenarios, these flows may not cease entirely, and/or could be redirected to other countries.

The impacts on major commodity exports and imports could be more pronounced. Australia's imports of crude and refined petroleum account for roughly 11% of total goods imports. Most of this comes from Asia, but supply chains and shipping routes often originate in the Middle East. With the global oil price benchmark (Brent) up about 37% since the start of the year, price effects will dominate nominal import data. However, the effect through lower volumes might also be significant, if the supply disruptions reach our shores, and/or demand eases in response to sustained higher prices.

On the export side, oil makes up only a small share of Australia's goods outflows, so the main effect will be felt through other energy exports – particularly coal and LNG. Newcastle thermal coal prices have risen 24%, and the LNG benchmark is up 57% this year. If LNG supply from major Middle Eastern exporters remains restricted, this could be an opportunity for Australia's LNG exports. However, it will be limited by capacity constraints and supply shortages.

Another factor influencing trade flows is shipping and associated costs. With many ships stranded in the Strait of Hormuz, freight costs are climbing. Thus far, the main impact has been on oil tankers, but broader risks to maritime flows are on the rise too, with the conflict also affecting goods traffic through the Red Sea and the Suez Canal.

## Goods trade flows with the Middle East countries*




Source: DFAT, Macrobond, Westpac Economics

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